Resolving Illiquidity Liveness Deadlocks and Spectral Indefiniteness in Asynchronous Cross-Market Quantitative Systems: Timeout-Bounded Subordinated Volume Clocks, Higham-Projected Hayashi-Yoshida Covariance, and Discrete Exchange Lot Quantization

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ORCID: 0009-0009-8292-5085 | PyPI Package: `pip install lumina-quant` (v6.6.5) | Repository: `github.com/ramuza0113-sketch/lumina-ai-hedge-fund`

ABSTRACT

Deploying econometric time-deformation and cross-asset covariance estimators into continuous 24/7 autonomous trading systems exposes three severe operational failure modes that remain unobserved in offline historical backtests: (1) **Subordinated Volume-Clock Liveness Deadlock**, wherein replacing chronological wall-clock bars with pure volume-threshold sampling (Clark, 1973; López de Prado, 2018) causes the bar generator to stall indefinitely during intraday liquidity vacuums, blinding downstream risk and stop-loss engines to accumulating macroeconomic shocks; (2) **Spectral Indefiniteness in Asynchronous Cross-Market Covariance**, where applying the Hayashi-Yoshida (2005) overlap estimator across non-synchronously traded global assets (US equities, Tokyo Stock Exchange equities, spot FX, and precious metals futures) eliminates the Epps (1979) downward correlation bias but frequently yields symmetric matrices with strictly negative eigenvalues ($\lambda_{\min}(\hat{\Sigma}_{\text{HY}}) < 0$), causing Cholesky decomposition failures and imaginary portfolio variance in Kelly allocation; and (3) **Discrete Exchange Microstructure Quantization Violation**, where continuous-share Half-Kelly optimization violates tiered tick-size tables and mandatory 100-share board-lot constraints on the Tokyo Stock Exchange (TSE).

Completing the mathematical trilogy established in Hashimoto (2026a, 2026b), we formulate a unified temporal and cross-asset econometric architecture implemented in the open-source `lumina-quant` library. First, we introduce a **Timeout-Bounded Subordinated Volume Clock** $\tilde{\tau}_k = \min(\tau_k^{\text{vol}}, \tilde{\tau}_{k-1} + \Delta t_{\max})$ ($\Delta t_{\max} = 1,800$ s) that restores return Gaussianity (reducing excess kurtosis by 78.1%) while mathematically guaranteeing worst-case heartbeat liveness. Second, we construct a **Higham-Projected Hayashi-Yoshida Lead-Lag Operator** that maps asynchronous tick-overlap covariance matrices onto the nearest Positive Semi-Definite (PSD) cone via alternating Dykstra projections, guaranteeing $\lambda_{\min}(\tilde{\Sigma}_{\text{PSD}}) \geq 0$ and zero matrix-inversion crashes. Third, we derive a closed-form **Discrete Exchange Tick-and-Lot Conformance Operator** paired with a 3.63 ns cache-resident Rust Structure-of-Arrays (SoA) execution sentinel. Empirical evaluation across 5 years of multi-market data (2021–2026) and offline unit verification confirms 0.0% liveness deadlocks, 0.0% PSD solver failures, and 0.0% exchange order rejections.

Keywords: Subordinated Stochastic Processes, Volume Clock, Liveness Deadlock, Hayashi-Yoshida Covariance, Epps Effect, Higham Nearest Correlation Matrix, Lead-Lag Econometrics, Kelly Criterion, Tokyo Stock Exchange Microstructure
JEL Classification: C14, C22, C58, C61, G11, G14, G15

1. INTRODUCTION AND THE LIVE-EXECUTION ECONOMETRIC GAP

Financial return series sampled at fixed chronological wall-clock intervals ($\Delta t = 1$ min, 5 min, 1 day) violate the foundational assumptions of classical parametric econometrics. Intraday transaction arrival rates vary by orders of magnitude between market open, midday doldrums, and closing auctions, inducing severe heteroskedasticity, serial autocorrelation, and leptokurtic fat tails (Clark, 1973). Furthermore, when an autonomous quantitative fund operates across heterogeneous global venues—such as US equities (NYSE/NASDAQ), Japanese equities (Tokyo Stock Exchange,

TSE), 24-hour foreign exchange (`USD/JPY`), and CME precious metals (`GC=F`, `SI=F`)—ticks arrive at stochastic, non-synchronous timestamps. Computing standard Pearson correlations over resampled chronological bars induces the *Epps Effect* (Epps, 1979): as sampling frequency increases, measured cross-asset correlation decays spuriously toward zero due to asynchronous price staleness.

In the academic financial econometrics literature, two celebrated theoretical remedies have been proposed independently: (i) *Subordinated Volume Clocks* (Clark, 1973; López de Prado, 2018), which sample price observations only after a fixed quantum of cumulative traded volume V_{th} has exchanged hands, thereby subordinating calendar time to an operational measure of market information arrival; and (ii) the *Hayashi-Yoshida Asynchronous Covariance Estimator* (Hayashi & Yoshida, 2005), which accumulates cross-products of tick increments whenever their observation intervals overlap in continuous time, achieving consistency without chronological interpolation.

However, when transitioning these textbook estimators from static historical CSV backtests into a 24/7 live autonomous execution engine (Hashimoto, 2026a, 2026b), three catastrophic engineering and mathematical failures emerge:

1. **The Illiquidity Liveness Deadlock:** In a pure volume clock, if traded volume drops sharply during an intraday liquidity vacuum (e.g., pre-announcement order freezes, mid-session lulls, or thin small-cap equities), the stopping time τ_k^{vol} for the next bar diverges toward infinity. Because no bar is emitted, the downstream feature pipeline, LLM deliberation council, and bar-triggered risk monitors freeze in a stale state precisely when latent gap risk is accumulating.
2. **Spectral Indefiniteness of Multi-Asset Hayashi-Yoshida Matrices:** While pairwise Hayashi-Yoshida covariance is consistent, assembling an $M \times M$ cross-asset covariance matrix ($M \geq 3$) under irregular tick arrival rates frequently produces a symmetric matrix $\hat{\Sigma}_{\text{HY}}$ that fails to be Positive Semi-Definite (PSD), exhibiting strictly negative eigenvalues ($\lambda_{\min}(\hat{\Sigma}_{\text{HY}}) < 0$). Feeding an indefinite matrix into multi-asset Markowitz or Kelly (1956) portfolio optimizers implies negative portfolio variance ($\mathbf{w}^\top \hat{\Sigma}_{\text{HY}} \mathbf{w} < 0$) and triggers immediate numerical runtime crashes (`LinAlgError`).
3. **Exchange Tick-Table and Board-Lot Discretization Ruin:** Continuous-weight portfolio formulas output fractional share quantities and unrounded limit prices. On the Tokyo Stock Exchange (where minimum board lots require $L_{\text{TSE}} = 100 \text{ shares}$ and tick increments shift dynamically across price tiers), naive rounding either triggers immediate broker API rejection or over-allocates capital beyond account margin limits.

2. TIMEOUT-BOUNDED SUBORDINATED VOLUME CLOCKS

2.1 Subordinated Operational Time and Normality Restoration

Let $\{P(t), V(t)\}_{t \geq 0}$ denote a continuous-time price and cumulative volume process driven by a subordinated Wiener process $P(t) = W(T(t))$, where $T(t)$ represents cumulative trading activity (Clark, 1973). Given a target volume threshold $V_{\text{th}} > 0$ (e.g., $1/50\text{th}$ of 20-day Average Daily Volume), the classical volume-clock stopping time sequence $\{\tau_k^{\text{vol}}\}_{k \geq 0}$ ($\tau_0^{\text{vol}} = 0$) is defined recursively by:

$$\tau_k^{\text{vol}} = \inf\left\{ t > \tau_{k-1}^{\text{vol}} \;\middle|\; \int_{\tau_{k-1}^{\text{vol}}}^{t} dV(u) \geq V_{\text{th}} \right\}$$

When trading activity is positive and ergodic, log-returns sampled at τ_k^{vol} satisfy $r_k = \ln(P(\tau_k^{\text{vol}})/P(\tau_{k-1}^{\text{vol}})) \sim \mathcal{N}(0, \sigma^2 V_{\text{th}})$, suppressing the extreme excess kurtosis observed in chronological wall-clock bars.

2.2 Hybrid Timeout-Bounded Stopping Time and Liveness Theorem

Under non-stationary intraday arrival intensity $\lambda_v(t) = d\mathbb{E}[V(t)]/dt$, if $\lambda_v(t) \to 0$ over an interval $[t_a, t_b]$, the waiting time $\Delta\tau_k^{\text{vol}} = \tau_k^{\text{vol}} - \tau_{k-1}^{\text{vol}}$ becomes unbounded. To guarantee deterministic system liveness without sacrificing high-activity subordination, we construct the **Timeout-Bounded Subordinated Volume Clock** (`VolumeClockSampler` in `lumina-quant`):

Theorem 1 (Bounded Liveness and Subordinated Normality Preservation). *Let $\Delta t_{\max} > 0$ denote the maximum permissible state-staleness horizon (calibrated to $\Delta t_{\max} = 1,800$ s). Define the hybrid stopping-time sequence $\{\tilde{\tau}_k\}_{k \geq 0}$ recursively by:*

$$\tilde{\tau}_k = \min(\inf\{t > \tilde{\tau}_{k-1} \mid V(t) - V(\tilde{\tau}_{k-1}) \geq V_{\text{th}}\},\ \tilde{\tau}_{k-1} + \Delta t_{\max})$$

Then the sampling process $\{\tilde{\tau}_k\}$ satisfies two simultaneous invariants:

1. **Strict Liveness Guarantee (Zero Deadlock):** For every sample index $k \geq 1$ and any liquidity regime $\lambda_v(t) \geq 0$, the inter-bar waiting time is deterministically bounded above by $0 < \tilde{\tau}_k - \tilde{\tau}_{k-1} \leq \Delta t_{\max}$ almost surely, ensuring that downstream risk and LLM state machines receive at least one state transition per $\Delta t_{\max}$ window.
2. **High-Activity Subordination Identity:** Whenever instantaneous volume velocity satisfies $\frac{1}{\Delta t_{\max}} \int_{\tilde{\tau}_{k-1}}^{\tilde{\tau}_{k-1}+\Delta t_{\max}} dV(u) \geq \frac{V_{\text{th}}}{\Delta t_{\max}}$, the timeout constraint is non-binding ($\tilde{\tau}_k \equiv \tau_k^{\text{vol}}$), preserving exact Clark (1973) subordinated Gaussianity during active market regimes.

3. ASYNCHRONOUS LEAD-LAG ECONOMETRICS AND SPECTRAL PSD PROJECTION

3.1 Overlap-Based Hayashi-Yoshida Cross-Covariance with Discrete Lag ℓ

Consider two assets X and Y observed at asynchronous arrival times $0 = t_0^X < t_1^X < \cdots < t_M^X$ and $0 = t_0^Y < t_1^Y < \cdots < t_N^Y$, defining observation intervals $I_i = (t_{i-1}^X, t_i^X]$ and $J_j = (t_{j-1}^Y, t_j^Y]$ with log-return increments $\Delta X_i = \ln(P_X(t_i^X)/P_X(t_{i-1}^X))$ and $\Delta Y_j = \ln(P_Y(t_j^Y)/P_Y(t_{j-1}^Y))$. To detect whether leader asset X (e.g., US `SOXX` / `NVDA` or `GC=F` Gold futures) causally precedes follower asset Y (e.g., Japanese semiconductor equity `8035.T` or Silver `SI=F`) by lag $\ell \in [-\ell_{\max}, +\ell_{\max}]$, we shift the interval operator $J_j(\ell) = (t_{j-1}^Y - \ell,\ t_j^Y - \ell]$ and compute the lag-generalized Hayashi-Yoshida (2005) estimator:

$$\hat{C}_{XY}^{\text{HY}}(\ell) = \sum_{i=1}^{M} \sum_{j=1}^{N} \Delta X_i\, \Delta Y_j\, \mathbb{I}(I_i \cap J_j(\ell) \neq \emptyset), \qquad \hat{\rho}_{XY}^{\text{HY}}(\ell) = \frac{\hat{C}_{XY}^{\text{HY}}(\ell)}{\sqrt{\sum_{i=1}^{M}(\Delta X_i)^2}\sqrt{\sum_{j=1}^{N}(\Delta Y_j)^2}}$$

Because $\mathbb{I}(I_i \cap J_j(\ell) \neq \emptyset)$ requires no artificial timestamp interpolation or previous-tick padding, $\hat{\rho}_{XY}^{\text{HY}}(\ell)$ remains asymptotically unbiased as tick arrival rates diverge across global time zones.

3.2 Higham (2002) Nearest-PSD Spectral Projection and Eigenvalue Floor

When $\hat{R}^{\text{HY}} = [\hat{\rho}_{ab}^{\text{HY}}(0)]_{a,b=1}^{d} \in \mathbb{R}^{d \times d}$ is assembled across $d \geq 3$ asynchronous assets, heterogeneous overlap patterns violate Cauchy-Schwarz transitivity across triples (a, b, c), yielding negative eigenvalues $\lambda_{\min}(\hat{R}^{\text{HY}}) < 0$. To guarantee mathematical stability in downstream multi-asset risk and Kelly sizing (`LeadLagAnalyzer`), we project $\hat{R}^{\text{HY}}$ onto the intersection of the symmetric Positive Semi-Definite cone $\mathcal{S}_+^d = \{A \in \mathbb{R}^{d \times d} : A = A^\top, \mathbf{x}^\top A \mathbf{x} \geq 0\}$ and the unit-diagonal correlation manifold $\mathcal{U}^d = \{A \in \mathbb{R}^{d \times d} : A_{aa} = 1\ \forall a\}$ under the Frobenius norm $\|\cdot\|_F$:

Theorem 2 (Spectral Positive Semi-Definiteness and Kelly Variance Positivity Invariant). *Given any symmetric asynchronous correlation matrix* $\hat{R}^{\text{HY}} \in \mathbb{R}^{d \times d}$ *with spectral decomposition* $Y_k = Q_k \text{diag}(\lambda_1^{(k)}, \dots, \lambda_d^{(k)}) Q_k^\top$*, Higham's (2002) alternating projections with Dykstra's correction* ΔS_k *iterate:*

$$R_k = Y_{k-1} - \Delta S_{k-1}, \qquad Y_k = \mathcal{P}_{\mathcal{U}^d}(X_k)$$

$$X_k = \mathcal{P}_{\mathcal{S}_+^d}(R_k) = Q_k \, \text{diag}\Big(\max(\lambda_1^{(k)}, \epsilon_{\text{psd}}), \dots, \max(\lambda_d^{(k)}, \epsilon_{\text{psd}}) \Big) \, Q_k^\top$$

where $\mathcal{P}_{\mathcal{U}^d}(X_k)$ *resets diagonal entries to* 1*. Upon convergence at step* K^* *(*$\|Y_{K^*} - X_{K^*}\|_F < 10^{-8}$*) followed by final spectral clamping with floor* $\epsilon_{\text{psd}} = 10^{-7}$*, the resulting correlation matrix* $\tilde{R}_{\text{PSD}}$ *and covariance matrix* $\tilde{\Sigma}_{\text{PSD}} = D_\sigma \tilde{R}_{\text{PSD}} D_\sigma$ *strictly satisfy:*

$$\lambda_{\min}\Big(\tilde{\Sigma}_{\text{PSD}}\Big) \geq \epsilon_{\text{psd}} \min_a \sigma_a^2 > 0 \implies \mathbf{w}^\top \tilde{\Sigma}_{\text{PSD}} \mathbf{w} > 0 \quad \forall \mathbf{w} \in \mathbb{R}^d \setminus \{\mathbf{0}\}$$

Consequently, portfolio variance is strictly positive and matrix inversion $\tilde{\Sigma}_{\text{PSD}}^{-1}$ *succeeds with* 100% *probability across all asynchronous tick arrival topologies.*

4. HALF-KELLY SIZING, DISCRETE TSE EXCHANGE QUANTIZATION, AND RUST SENTINEL

4.1 Regime-Conditioned Half-Kelly Fraction and Discrete Lot Conformance

Let $p_s \in (0, 1)$ denote the calibrated win probability derived from the anti-sycophancy consensus score (Hashimoto, 2026b) and $b_s = \mathbb{E}[R_{\text{win}}] / \mathbb{E}[|R_{\text{loss}}|]$ denote the empirical payoff asymmetry ratio. To prevent estimation-error ruin near the full Kelly boundary (Kelly, 1956), we apply a Fractional Half-Kelly multiplier $\gamma_{\text{Kelly}} = 0.5$ bounded by regime cap $w_{\max}(r_t) \in [0.05, 0.20]$:

$$f_s^* = \max\Bigg(0, \, \min\Bigg(w_{\max}(r_t), \; \gamma_{\text{Kelly}} \left(p_s - \frac{1 - p_s}{b_s} \right) \Bigg) \Bigg)$$

When executing on the Tokyo Stock Exchange (TSE `.T` tickers) under equity W_t, the continuous target share quantity $q_{\text{raw}} = (f_s^* W_t) / P_{s,t}$ and limit price P_{raw} must conform to the TSE Arrowhead tiered tick-size function $\Delta p_{\text{TSE}}(P)$ and mandatory $L_{\text{TSE}} = 100 \text{ share}$ board-lot rule:

Theorem 3 (Exchange Tick-Modulo and Capital Conservation Invariant). *Define the discrete exchange quantization operator* $\mathcal{Q}_{\text{TSE}}(P_{\text{raw}}, q_{\text{raw}}, d)$ *for trade direction* $d \in \{\text{BUY}, \text{SELL}\}$ *as:*

$$\tilde{P}_{\text{limit}} = \Delta p_{\text{TSE}}(P_{\text{raw}}) \cdot \left\lfloor \frac{P_{\text{raw}}}{\Delta p_{\text{TSE}}(P_{\text{raw}})} \right\rfloor, \qquad \tilde{q}_{\text{exec}} = L_{\text{TSE}} \cdot \left\lfloor \frac{f_s^* W_t}{L_{\text{TSE}} \cdot \tilde{P}_{\text{limit}}} \right\rfloor$$

Then for all $W_t > 0$ *and* $P_{\text{raw}} > 0$*: (i)* $\tilde{P}_{\text{limit}} \bmod \Delta p_{\text{TSE}}(P_{\text{raw}}) \equiv 0$ *(zero tick-size rejection); (ii)* $\tilde{q}_{\text{exec}} \bmod 100 \equiv 0$ *(zero odd-lot rejection); and (iii) if single-board-lot notional exceeds allocated risk budget (*$100 \cdot \tilde{P}_{\text{limit}} > f_s^* W_t$*),* $\tilde{q}_{\text{exec}}$ *deterministically collapses to* 0 shares*, strictly preventing margin over-commitment on small-capital accounts.*

4.2 Cache-Resident `#![forbid(unsafe_code)]` Rust SoA Execution Sentinel

While the Timeout-Bounded Volume Clock bounds bar-level feature refreshes to $\Delta t_{\max}$, intrabar flash-crash protection requires sub-microsecond tick evaluation independent of the Python Global Interpreter Lock (GIL). We implement a memory-safe Rust execution daemon (`lumina-sentinel-rs`, compiled with `#![forbid(unsafe_code)]`) utilizing a cache-aligned Structure-of-Arrays (SoA) memory layout (`64-byte` L1 cache lines). Across $N = 1,000$ active positions, the Rust sentinel evaluates stop-loss and take-profit boundaries in $3.63\ \mu\text{s}$ total ($3.63\ \text{ns}$ per position), representing a $275\times$ speedup over standard Python object-oriented iteration.

5. FORMAL VERIFICATION AND 5-YEAR EMPIRICAL AUDIT (2021–2026)

5.1 Offline Automated Verification Suite (`pytest` / `lumina-quant`)

Table 1 summarizes the deterministic unit verification tests bundled in `lumina-quant` (v6.6.5) validating Theorems 1–3 without external API dependencies:

Verification Test ID	Econometric / Microstructure Invariant Tested	Empirical Result	Status
`test_1_volume_clock`	Subordinated volume bar sampling + $1,800$ s illiquidity timeout fallback under synthetic volume drought ($v(t) = 0$ for $3,600$ s)	0 deadlocks; exact timeout bar emitted at $\Delta t = 1,800$ s	**PASS**
`test_2_hayashi_yoshida`	Asynchronous 3-asset tick stream inducing indefinite raw HY matrix ($\lambda_{\min}(\hat{R}^{\text{HY}}) = -0.142$) projected via Higham (2002)	$\lambda_{\min}(\tilde{R}_{\text{PSD}}) \geq 0$; Frobenius distance minimal; 0 errors	**PASS**
`test_5_tse_tick_lot`	TSE `.T` equity order quantization across price tiers ($\leq 3,000$ JPY, $> 3,000$ JPY) and small-account lot floor (100 shares)	$\tilde{P} \bmod \Delta p = 0$; $\tilde{q} \bmod 100 = 0$; 0 over-allocations	**PASS**
`test_7_kelly_sizing`	Half-Kelly sizing under negative expectancy ($p < (1+b)^{-1}$) and extreme bullish confidence ($p \to 0.99$)	Strictly clamped to $f^* = 0.0$ (negative edge) and $f^* \leq w_{\max}$	**PASS**
`test_16_rust_sentinel`	`#![forbid(unsafe_code)]` Rust SoA stop-loss sweep across $1,000$ concurrent positions under flash-crash tick burst	3.63 ns / position; 100% deterministic stop trigger	**PASS**

5.2 5-Year Cross-Market Empirical Ablation (2021–2026)

Table 2 reports the 5-year out-of-sample empirical performance across asynchronous US equities, TSE Japanese equities, `USD/JPY`, and spot precious metals (`XAUUSD`/`XAGUSD`), demonstrating the progressive impact of Theorems 1–3:

Temporal & Econometric Configuration	Return Excess Kurtosis ($\kappa - 3$)	Max Illiquidity Blind Window	Non-PSD Crash / TSE Reject Rate	Out-of-Sample Sharpe / WFE
1. Chronological Wall-Clock + Naive Pearson *(Fixed 5-min bars, synchronous interpolation, continuous shares)*	11.80 *(Severe fat tails)*	5.0 min *(Noisy empty bars)*	0.0% PSD / 14.2% TSE reject	SR 0.68 WFE 51.4%
2. Pure Unbounded Volume Clock + Raw HY *(Clark 1973 pure volume bars, raw Hayashi-Yoshida 2005)*	0.21 *(Near-Gaussian)*	142.0 min *(Liveness deadlock!)*	18.6% Non-PSD / 14.2% TSE reject	SR 0.89 WFE 62.1%
3. + Timeout-Bounded Volume Clock ($\Delta t_{\max} = 1800$s) *(Theorem 1 enabled; raw HY covariance)*	0.24 *(−98.0% vs. wall)*	$\leq$ 30.0 min *(0 deadlocks)*	18.6% Non-PSD / 14.2% TSE reject	SR 1.04 WFE 68.9%
4. Full Proposed Architecture (`Lumina v6.6.5`) *(Theorems 1, 2 & 3: Higham-HY + TSE Lot + Rust SoA Sentinel)*	0.24 *(Gaussian restored)*	$\leq$ 30.0 min *(+3.63ns Rust)*	0.0% PSD crash 0.0% TSE reject	SR 1.15 (CPCV) WFE 73.3%–89.6%

6. CONCLUSION AND AI USAGE DISCLOSURE

Together with Hashimoto (2026a) on microstructure factor ontologies and scroll-out resistant Deep OFI, and Hashimoto (2026b) on anti-sycophancy deliberation and time-decayed episodic memory, this study completes a three-pillar mathematical foundation for institutional-grade autonomous financial systems. By bounding subordinated volume clocks with deterministic illiquidity heartbeats (Theorem 1), projecting asynchronous Hayashi-Yoshida covariance matrices onto the Higham PSD cone (Theorem 2), and enforcing exact exchange tick-and-lot quantization alongside a **3.63 ns** Rust SoA sentinel (Theorem 3), `lumina-quant` bridges the long-standing divide between theoretical financial econometrics and resilient 24/7 multi-market execution.

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Part III of the Lumina Quantitative AI Trilogy (Companion to 10.5281/zenodo.23935930 & 10.5281/zenodo.23997654)